VERIFICATION

Learning Outcome

- describe the concept of independent verification

Firms that claim compliance with the GIPS standards are responsible for their claim of compliance and for maintaining that compliance. That is, firms self-regulate their claim of compliance. Once a firm claims compliance with the GIPS standards, it may voluntarily hire an independent third party to perform a verification in order to increase confidence in the firm's claim of compliance. Verification may also increase the knowledge of the firm's performance measurement team and improve the consistency and quality of the firm's GIPS standards-related performance information.

Verification is a process by which an independent verification firm (verifier) conducts testing of a firm on a firm-wide basis in accordance with the required verification procedures of the GIPS standards. Verification provides assurance on whether the firm's policies and procedures related to composite and pooled fund maintenance, as well as the calculation, presentation, and distribution of performance, have been designed in compliance with the GIPS standards and have been implemented on a firm-wide basis.

Verification is performed with respect to an entire firm, not on specific composites or pooled funds. Verification does not ensure the accuracy of any specific performance report.

Verification must be performed by an independent third party. A firm cannot perform its own verification.

Third-party verification brings additional credibility to a firm's claim of compliance. A verified firm may provide existing and prospective clients and investors with greater assurance about its claim of compliance with the GIPS standards. Verification may also provide improved internal processes and procedures as well as marketing advantages to the firm.

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{HFA} HISTORICAL FUND ANALYSIS

The Bloomberg HFA function allows you to view performance data on many of the world's leading funds.

> "HFA <GO> allows you to analyze the historical risk and performance of a source fund or portfolio, so you can identify funds that meet your investment criteria and analyze portfolios in which you have interest. HFA <GO> provides a series of charts and data tables which allow you to visualize and compare historical performance returns of the source fund or portfolio against a specific benchmark, using statistical indicators such as mean return, value at risk, bull and bear market analyses, and more." -Bloomberg

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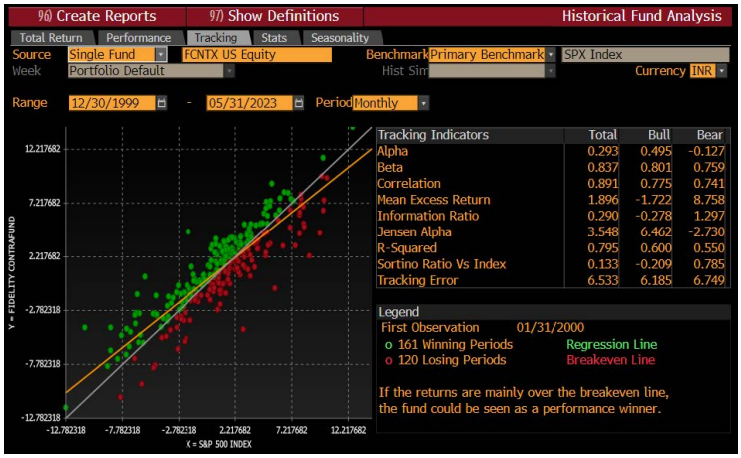
amber field, type “Contrafund,” select the Fidelity Contrafund, or FCNTX US Equity, and then press Enter or <GO>. Click on the Tracking tab. Review some of the key performance measurements shown when pitching funds, such as the Sortino ratio.



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